

20STCV26066 20STCV26066

County: los-angeles

Division: Civil Law and Motion

Department: A

Hearing date: 2026-08-07

Motion: INTERVENOR BERKSHIRE HATHAWAY'S MOTION TO STRIKE COSTS

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Case Number: 20STCV26066 Hearing Date: August 7, 2026 Dept: A

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES – SOUTH CENTRAL DISTRICT

IVAN REYNA,

Plaintiff,

vs.

BAKER

FURNACE, INC.,

Defendant.

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CASE NO: 20STCV26066

[TENTATIVE]

ORDER RE: INTERVENOR BERKSHIRE HATHAWAY'S MOTION TO STRIKE COSTS

Dept.

A

DATE:

August 7, 2026

TIME:

8:30 A.M.

COMPLAINT

FILED: 07/10/2020

JUDGMENT

ENTERED: 05/28/2026

MOVING

PARTY: Intervenor Berkshire

Hathaway Homestate Insurance Company

RESPONDING

PARTY: Defendant Baker Furnace, Inc.

1. Background

This is a products liability action. Plaintiff Ivan Reyna ("Plaintiff") alleged that defendant Baker Furnace, Inc. ("Defendant") provided Plaintiff with a defective drying oven, causing Plaintiff personal injury. On August 31, 2021, intervenor Berkshire Hathaway Homestate Insurance Company ("Intervenor") intervened in this action, alleging subrogation against Defendant. On November 7, 2022, Plaintiff dismissed his complaint against Defendant pursuant to a settlement agreement.

Trial in this action began on May 11, 2026. Judgment was entered on May 28, 2026 in favor of Defendant and against Intervenor.

2. Discussion

Intervenor moves to strike Defendant's costs. Intervenor contends that the 998 settlement offer made by Defendant was ambiguous, and therefore does not trigger the cost-shifting provision. In opposition, Defendant contends that the language in the settlement offer was not ambiguous.

Code of Civil

Procedure § 998 provides that after a defendant makes a settlement offer and the offer is rejected, if the plaintiff fails to obtain a more favorable outcome at trial, the plaintiff is liable for the defendant's costs from the time of the offer. (Code Civ. Proc. § 998, subd. (c)(1).) To be valid, an offer to settle under Civil Procedure § 998 must not dispose of any claims beyond the claims at issue in the pending lawsuit, due to the difficulty in calculating whether a trial outcome was more favorable than a settlement offer where the offer covered claims that were not at issue in the trial. (Chen v.

Interinsurance Exchange of the Automobile Club (2008) 164 Cal.App.4th 117, 121 (Chen).) In interpreting a Section 998 settlement offer, the court interprets any ambiguity against the offeror. (Id. at p. 122; Barella v. Exchange Bank (2000) 84 Cal.App.4th 793, 799..)

Here, the settlement offer at issue states:

"Pursuant to the provisions of California Code of Civil Procedure § 998, Defendant Baker Furnace, Inc. hereby offers to compromise this litigation in the exchange for FIVE THOUSAND DOLLARS (5,000).

This Offer to Compromise includes all costs and attorney's fees; i.e., each party to bear own costs and attorney's fees.

This Offer to Compromise is subject to Defendant Baker Furnace, Inc. being provided with a standard Release of All Claims.

BERKSHIRE HATHAWAY HOMESTATE INSURANCE COMPANY shall Dismiss with prejudice its entire complaint in intervention.

This Offer to Compromise may be accepted in the form of a letter directed to attorneys for Defendant, or by signing and returning this pleading where indicated below."

(Mot., Ex. A.)

Intervenor

cites Chen for the proposition that this offer to compromise is invalid under Code of Civil Procedure § 998 because it is ambiguous as to what claims it seeks to dispose of. In Chen, the settlement offer at issue stated: "[Respondent] offers to compromise the above-entitled action for both plaintiffs in the total amount of \$251,000.00. ... This offer is conditioned upon plaintiffs executing a dismissal with prejudice of the action, as well as a general release of all claims in lieu of an entry of judgment against defendants." (Chen, supra, 164 Cal.App.4th at p. 120.) The court in Chen found that this settlement offer was ambiguous because a release of all claims would also bar claims not included in the lawsuit. (Id. at p. 122.) Similarly, in Valentino v. Elliott Sav-On Gas, Inc. (1988) 201 Cal.App.3d 692, the court found that a settlement offer requiring the plaintiff to release the defendant from all claims was ambiguous because it would require the court to identify what

other claims the plaintiff may have had as well as their value. (Id. at pp. 699-700.)

Defendant

contends that the settlement offer was not ambiguous because the settlement offer stated that it applied to “this litigation.” However, under Chen, this statement is insufficient to establish that the settlement offer is not ambiguous. (Chen, supra, 164 Cal.App.4th at p. 123.) “[I]n its recitation of the offer’s language, [Defendant] gamely tries to leap over the phrase ‘all claims’... When not ignoring the word “all,” respondent tries to dismiss it as inconsequential, but here that word makes all the difference insofar as creating ambiguity.” (Ibid.)

Defendant

cites *Rojas v. HSBC Card Services Inc.* (2023) 93 Cal.App.5th 860 (Rojas) for the proposition that a settlement offer releasing all claims may be unambiguous. However, in *Rojas*, the offer was “to settle all claims of plaintiff Dalia Rojas ... against HSBC in the above-captioned action...” (Id. at p. 889.) The phrasing used in *Rojas* restricts the claims at issue to those in the active litigation. Here, by contrast, the settlement agreement simply required Intervenor to provide Defendant with a release of all claims, without the specific restriction provided in *Rojas*. *Rojas* does not support Defendant’s position, and instead supports the conclusion that the offer here was overly broad and therefore ambiguous.

Based on the

foregoing, the court concludes that the settlement offer was ambiguous and invalid for the purposes of Code of Civil Procedure § 998. Accordingly, Defendant may not utilize Code of Civil Procedure § 998’s cost-shifting provisions to recover costs permitted thereunder from Intervenor, specifically postoffer costs of the services of expert witnesses authorized under section 998, subdivision (c)(1). Defendant’s requested expert witness fees in the amount of \$48,212.50 for retained experts Nicholas J. Corbo and Erik Christiansen are taxed and stricken.

Notwithstanding,

Intervenor did not establish any legal basis for the court to strike the entirety of Defendant’s \$57,575.27 cost memorandum. Defendant was the prevailing party at trial and is entitled to recover costs authorized by statute. The court therefore declines to strike the remaining \$9,362.77 of Defendant’s requested costs.

3. Conclusion

Based on the foregoing, the court GRANTS IN PART Intervenor's motion to strike costs. Defendant's requested expert fees in the amount of \$48,212.50 are stricken.

The court directs the clerk to enter the court's award of \$9,362.77 in costs in favor of Defendant on the judgment.

Intervenor is ordered to give notice.

IT IS SO ORDERED.

DATED: August 7, 2026

Hon. Elizabeth L. Bradley

Judge of the Superior Court